

Illustration by **SIDDHANT JUMDE**

The advantage of investments in mutual funds versus direct stocks is that the fluctuation in a fund's NAV is relatively less compared to that of a stock price. The basket of investments that a mutual fund holds acts like a shock absorber when stock markets fluctuate, making the NAV less volatile compared to individual stock prices. You could navigate the tricky period when markets are volatile through your mutual fund investments.

Firstly, do not panic. Setting clear financial goals is important when investing through MFs. Likewise,

DURING STRETCHES OF INSTABILITY, LONG-TERM INVESTORS MAY PROFIT THE MOST BY ULTIMATELY STAYING THE COURSE

continue your SIPs through market lows and highs. The very essence of SIPs is to accumulate more units when the markets are low and vice versa. With SIPs, you invest a fixed amount regularly, regardless of the market's ups and downs. It allows you to average out